Project Charter

Predictive Analytics Program: Early Delinquency and Credit Churn

Client: FinBank S.A., Vice Presidency of Risk and Analytics
Consulting firm: DataForge Consulting

Project code	GMAC-FB-2026-01	Document version	1.0
Duration	12 weeks	Approved budget	COP $180,000,000
Sponsor	VP of Risk and Analytics	Issue date	September 2026

1. Business Case

FinBank S.A. manages a credit portfolio of COP $420,000 million distributed across 125,000 clients. The bank records the behaviour of that portfolio, but it does so after the fact. Delinquency is registered once the payment has been missed, and cancellation is registered once the client has already left. Two consequences follow from this.

The first is early delinquency. New clients are not evaluated with a forward looking measure at 30 and 60 days, so the collections area works on accounts that are already overdue instead of accounts that are about to be. FinBank estimates the exposure associated with this gap at COP $58,800 million.

The second is churn in the preferential segment. Cancellations of credit products are known when they are processed, which leaves no room for a retention offer. The bank estimates the losses associated with this gap at COP $18,200 million, and considers that a three month anticipation window would be sufficient to act.

Together the two gaps represent COP $77,000 million, close to 18% of the portfolio. During the diagnostic conversations FinBank stated that the obstacle is not the availability of data or of analysts, but the absence of a defined way to plan, control and close analytical projects. This charter authorizes an engagement of 12 weeks intended to install that method and to deliver the two predictive models it governs.

2. Consulting Firm and Roles

DataForge Consulting is a junior consulting firm formed by three students of Statistical Engineering at Escuela Colombiana de Ingeniería Julio Garavito for the purposes of this engagement.

Team member	Role	Responsibility
Daniel Felipe Martínez Hernández	Project Leader	Scope, budget, schedule and formal reporting to the sponsor.
Rafael Alejandro Baracaldo Doikov	Business Analyst	Requirements, feature dictionary and translation of risk questions into analytical work items.
Oscar Santiago Merino Suárez	Scrum Facilitator	Sprint cadence, agile board, impediment log and Definition of Done.

Approach to risk and schedule

The engagement is divided into six sprints of two weeks. Each sprint closes with a review in which the firm reports three items to the sponsor: the estimated monetary effect of the work completed, the accumulated variance in cost and schedule, and the movement of the risk register. The authorization of the following sprint depends on that review. This arrangement limits the amount committed between decisions to one sprint of budget, approximately COP $30,000,000, and gives FinBank six documented opportunities to continue, redirect or terminate the engagement.

3. Purpose and Objectives

The purpose of the project is to plan and deliver a predictive analytics capability for early delinquency and churn, together with the management framework required to keep it operating once the consulting firm withdraws.

ID	Objective	Success measure	Deadline
O1	Deliver a model that ranks new clients by probability of default at 30 and 60 days.	AUC of at least 0.75 on an out of time validation sample.	Week 6
O2	Deliver a model that identifies preferential clients likely to cancel within three months.	Recall of at least 0.60 at the operating threshold.	Week 8
O3	Define the cut off point that maximizes net monetary benefit for each model.	Cost matrix and cut off approved by the finance area.	Week 10
O4	Transfer the management framework: board, backlog, Definition of Done and monitoring plan.	Sponsor acceptance of the handover package.	Week 12
O5	Complete the engagement within the authorized envelope.	Cost and schedule variance not above 5%.	Week 12

4. Scope

The engagement includes the management of the analytical project, understood as the charter, the prioritized backlog, the agile board, the sprint cadence and the reporting to the sponsor. It also includes the diagnosis of the available data, the construction of the feature dictionary and the quality report, the construction and validation of the two predictive models described in O1 and O2, the threshold analysis that converts a score into an operating rule, and a deployment pilot on a controlled segment with its monitoring plan and the corresponding training for FinBank analysts.

The engagement does not include the purchase or replacement of core banking or CRM infrastructure, the execution of the commercial retention campaigns, which remain under the responsibility of FinBank, the construction of models for products outside the credit portfolio agreed during Sprint 1, or the migration of historical records older than the 36 month window defined for training.

5. Schedule and Milestones

Sprint	Weeks	Focus	Milestone
S1	1–2	Governance, data access agreement, board and backlog.	M1. Charter approved and access granted.
S2	3–4	Data profiling, quality report and feature dictionary.	M2. Feature dictionary accepted.
S3	5–6	Delinquency model at 30 and 60 days.	M3. Delinquency baseline validated.
S4	7–8	Churn model with a three month horizon.	M4. Churn model validated.
S5	9–10	Threshold analysis, calibration and operating rules.	M5. Decision rules approved.
S6	11–12	Deployment pilot, monitoring, handover and training.	M6. Final acceptance.

6. Budget

Cost item	Amount (COP)	Share
Project management and governance	$27,000,000	15%
Data engineering and feature pipeline	$45,000,000	25%
Predictive modeling, delinquency and churn	$54,000,000	30%
Validation, calibration and documentation	$25,200,000	14%
Deployment pilot, training and handover	$18,000,000	10%
Contingency reserve	$10,800,000	6%
Total authorized	$180,000,000	100%

The contingency reserve is not allocated to any sprint. It is released by the sponsor during a sprint review and only against a risk that has already materialized, with a written record of the amount and the reason.

7. Governance and Stakeholders

Stakeholder	Interest	Interaction
VP of Risk and Analytics	Authorizes the budget, accepts deliverables and releases the reserve.	Sprint review every two weeks.
Collections management	Receives the weekly early warning list.	Sprint review from S3.
Retention and commercial management	Receives the churn list and its explanatory variables.	Sprint review from S4.
Data protection officer	Compliance with Ley 1581 de 2012.	Review in S1 and audit in S6.
IT and infrastructure	Data access and deployment of the pilot.	Weekly during S1, S5 and S6.

The firm holds a daily internal meeting, sends a written status report to the sponsor every week and conducts a review with the client at the end of each sprint. Any request that modifies scope, budget

or schedule is processed as a change request and is decided by the sponsor at the following review.

8. Risk Register

ID	Risk	Exposure	Response
R1	Delay in the authorization of access to the credit data warehouse.	High	Access is a condition for closing S1. An anonymized sample is requested in parallel so that profiling is not interrupted.
R2	Incomplete or inconsistent client history.	High	Quality report in S2. Variables below the agreed completeness threshold are excluded and the exclusion is documented.
R3	Low event rate in delinquency and in churn.	Medium	Use of metrics suited to imbalance and definition of thresholds by monetary benefit rather than by accuracy.
R4	The models are validated but not adopted by the operating areas.	High	The business owner participates in every review and the Definition of Done requires their approval.
R5	Non compliance with personal data regulation.	Medium	Anonymization before extraction and review by the data protection officer in S1 and S6.
R6	Growth of scope during the engagement.	Medium	The sprint backlog is fixed once the sprint begins. New requests enter the product backlog and are prioritized at the following review.

9. Definition of Done and Acceptance

A work item is considered complete when its result can be reproduced from the project repository, when it is documented in the agreed template, when the corresponding business owner has validated it against the operating process, and when it has been demonstrated in a sprint review.

The project is accepted when the two models satisfy the measures stated in O1 and O2, the operating rules of O3 have been approved by the finance area, the handover package described in O4 has been signed by the sponsor, and the final variance remains within the limit stated in O5.

10. Assumptions and Constraints

- FinBank provides at least 36 months of credit history during the first two weeks of the engagement.
- One counterpart from collections and one from retention are available two hours per week.
- The duration of 12 weeks and the budget of COP $180,000,000 are fixed. Any extension requires a new authorization.
- Personal data is anonymized before leaving the infrastructure of the bank.
- The deployment carried out in Sprint 6 is a pilot on a controlled segment and not a complete production rollout.

11. Authorization

Vice President of Risk and Analytics FinBank S.A. Project sponsor	Daniel Felipe Martínez Hernández Project Leader, DataForge Consulting